
Trump's Venezuela oil deal is even sleazier than you think

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Trump's Venezuela oil deal is even sleazier than you think

During the 2024 campaign, [Donald Trump](#) talked a lot about [Venezuela](#). He claimed that country had emptied all its asylums and prisons and sent the convicts and patients to America to kill us all in our beds. He was definitely not impressed with the Venezuelan government, nor did he think much of its most valuable resource, which is an enormous amount of oil. “We’re buying tar from Venezuela, and we’re refining it in Houston,” [he complained](#). “It’s the dirtiest, worst oil anywhere in the world. And we’re refining it — so you can imagine what’s going up in the air.”

More recently, in what Trump clearly considers his finest foreign policy achievement (aside from all the wars he has supposedly ended), last January he [sent in the U.S. military](#) to [abduct President Nicolás Maduro](#), leaving Vice President Delcy Rodríguez and the rest of Venezuela’s corrupt regime in charge — with the understanding that they would do whatever he said or risk a full-scale military invasion. They seemed happy to oblige, apparently assured that they’d be cut in on whatever deal the U.S. had in mind. The democratic opposition was told to sit down and shut up.

Over the weekend, Trump made a huge announcement that the U.S. now owns the rights to most of that terrible Venezuelan oil. It will start flowing quickly, he promised, in hopes of bringing down gasoline prices and refilling the [Strategic Petroleum Reserve](#), which is emptying quickly as the war in Iran drags on. He called it a “Gift from Venezuela to the People of the United States.” He’s always said that the biggest mistake the United States has made in past wars was its failure to “take the oil.” This time, he’s taking it.

This deal with the Venezuelan government is unusual, to say the least, particularly coming from a man and a political party who are currently having a full-blown nervous breakdown over the prospect of some Democrats calling themselves socialists. According to the vague details released to the press so far, the U.S. will now be the majority owner of a new oil company to be run by Alejandro Betancourt, a [shady Venezuelan businessman](#) and former Maduro ally who until recently was being investigated by several countries for various alleged crimes, including money laundering.

According to the [Wall Street Journal](#), an obscure department in the Pentagon called the Office of Strategic Capital, which has “limited statutory authority to strike deals designed to support U.S. national-security interests, typically through loans and guarantees” will finance this. Trump claims the venture will cost the U.S. nothing, but as you might expect, that seems unlikely. Most actual experts predict it will require a substantial American investment, likely into the hundreds of billions.

After the Maduro operation, [Trump had promised](#) that the “great U.S. oil companies” would “spend billions of dollars, fix the badly broken infrastructure, the oil infrastructure, and start making money for the country... It will cost us nothing. It’ll be paid for by the oil companies directly.”

Well, that’s not happening. Multinational oil companies have balked at putting any money into this venture because of the security risks, the unstable political situation and the fact that the Venezuelan oil fields are in disrepair and would require enormous up-front investment. Even if those fields were working to full capacity, the grade of oil available there is difficult to extract and (as Trump said!) requires arduous and expensive refining.

There is plenty of oil on world markets, but it’s being choked off by Trump’s misbegotten war with Iran, which keeping prices high and making the oil companies very happy. They have no reason to want in on his criminal boondoggle.

In other words, this plan will likely be many years in the making and will cost a lot of money. Furthermore, at the moment there is plenty of oil on world markets, but it's being choked off by Trump's misbegotten war with Iran, a circumstance that's keeping prices high and making the oil companies very happy. They have no reason to want in on Trump's criminal boondoggle.

It's not clear whether Trump has the legal authority to do any of this. But his philosophy in everything, of course, is to do whatever he wants and let someone try to stop him. It's possible the administration might try to ram something through the current Congress before it (very likely) changes hands in January, but the deal is so half-baked that it's unlikely. And who knows what will happen if and when this goes through the courts? We don't know much about this entire endeavor, but we know it will not lower gas prices immediately or quickly fill up the Strategic Petroleum Reserve, which is how Trump is selling it.

Meanwhile, the Venezuelan people are being left completely on the sidelines in this purported deal, which seems like a massive strategic error but one that's of no concern to a guy who believes that "to the victor go the spoils," as Trump does. He sees Venezuela as an American vassal state and is openly treating it that way. His potential problem is that Venezuela has a population of nearly 30 million people who believe they are citizens of a sovereign country, and they are already protesting this deal furiously.

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The Journal reports that the Trump deal is very likely "in direct conflict with Venezuela's 1999 constitution, which states that the country's oil reserves belong to the Bolivarian Republic of Venezuela and can't be sold." In any case, the current unelected government, which is more or less a U.S. puppet regime at this point, has no authority to enter into such a deal in the first place.

Trump has been in no hurry to allow elections in Venezuela, and we can imagine how much he relishes holding that kind of power. But even GOP allies like [Sen. Ted Cruz](#) are saying he needs to schedule a vote sooner rather than later, knowing full well that a restive, angry population might precipitate a crisis that could lead to another U.S. military intervention. Of course, Venezuelans might well vote for a government less corrupt than this one, which could decide that selling off their country's greatest source of wealth to the Yanks isn't such a great idea. So I wouldn't hold my breath for Donald Trump allowing elections to happen while he's still around.

Venezuela has been on [this merry-go-round](#) for more than a hundred years, ever since oil was first discovered and overseas corporations moved in to begin extracting it, while exploiting the Venezuelan people at every step of the way, with plenty of help from the United States. That has resulted in various experiments with nationalizing oil resources and the socialist policies of former president Hugo Chávez, which ultimately did very little for the general population either, as government corruption grew worse and the infrastructure crumbled.

There's no reason it has to be like that forever. Venezuela still has immensely valuable resources and under the right leadership could become a wealthy democratic state — like, say, Canada, which also has vast oil reserves. But that's not going to happen if the U.S. is allowed to loot the sovereign wealth of the Venezuelan people and threatens them with violence if they resist. They deserve better. For their sake, we have to hope that this version of Trump's "art of the deal" fails as badly as the rest of them.

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